

Shriram Finance Ltd

SHRIRAMFIN | Financials

ROE	ROCE	OPM
15.1%	4.5%	28.9%
D/E Ratio	Interest Coverage	EPS
3.99	0.7x	■39.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■36,388	■7,399
2023-03	■30,492	■6,020
2022-03	■19,255	■2,721
2021-03	■17,422	■2,499
2020-03	■16,561	■2,512

Cash Flow Intelligence

Metric	Value
CFO Quality	Accrual Risk
CapEx Intensity	Asset Light
Capital Allocation	Distress Signal
FCF 5Y CAGR	N/A
Distress Flag	YES ■

✓ Investment Strengths (Pros)

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality

■ Investment Concerns (Cons)

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility